
GREECE 2007

1. Review of the system

1.1. Average Worker Wage (AW)

For the year 2007 the average gross income of a worker amount to 16539¹ €.

2. Unemployment Insurance

The unemployment insurance system covers persons who are insured against diseases with a social insurance body. The benefits are divided into regular benefits and special allowances. This programme is targeted on employees that became unemployed against their will and are not capable of finding a job relevant to their qualifications.

2.1 Condition for receipt

- The person must be capable of and available for work
- The person must be unemployed unwillingly
- The person must have registered with an employment agency.
- The person must not receive a pension equal to or larger than the minimum pension granted by IKA (Social Insurance Institute)
- The person must not be self-employed.

2.1.1 Employment conditions

- 125 days of employment in the last 14 months prior to applying for the benefit, or
 - 200 days of employment in the last 2 years prior to applying for the benefit
- The persons applying for the benefit for the first time must have worked for at least 80 days per year in the last two years prior to their application.

2.1.2 Contributions conditions

The system is contributory. The contributions made to the OAED (Manpower Employment Organization) are paid both by the employer and the employee.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Pursuant to article 5 of Act 3352/07 the unemployed that were employed in a full-time job, the basic unemployment benefit is defined to 50% of the daily wage of the unskilled worker from January 1st and from January 1st 2008 to 55% of the daily wage of the unskilled worker. To the unemployed that were not employed in a full-time job and whose monthly wages were lower than or equal to the six-fold of the daily wage of the unskilled worker, 50% of the basic unemployment benefit is paid, whereas to the unemployed that were not employed in a full-time job and whose monthly wages were higher than the six-fold and lower than or equal to the twelve-fold of the daily wage of the unskilled worker, 75% of the basic unemployment benefit is paid.

The basic daily unemployment benefit since 01/05/2007 amounts to 14,69€, while the monthly one to 367,27€. The lowest daily unemployment benefit is 7,34€ and the monthly 183,50€.

The unemployment benefit is paid for 25 days per month and increases by 10% for every dependant member of the beneficiary.

2.2.2 Income and earnings disregards

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

None. The payment of the benefit is interrupted in case there is an income from commercial businesses or liberal professions.

The payment of the unemployment benefit may be combined with a part time employment in case the monthly remuneration of the worker for his/her part-time job is less than the approved amount of the monthly unemployment benefit. But in this case, the OAED will offset the amount paid as benefit with the amount received as salary for the part-time job and it will pay the difference to the beneficiary.

In case the beneficiary's monthly remuneration for his/her part-time job exceeds the amount of the monthly unemployment benefit, the payment of the benefit is suspended due to the taking up a post. This regulation has been applied since beginning of 1990.

2.3 Tax treatment of the benefit

No taxation is imposed on the benefit.

2.4 Benefit duration

Following a waiting period of six days the benefit is paid during a period, which differs depending to the worker's employment background:

Days of employment	Duration (months)
125-149	5
150-179	6
180-219	8
220-249	10
250 or more	12
210 days and 49+ years old	12

In all cases the payment of the benefit is of 12 months duration, if the applicant has actually worked for 4050 days or more.

2.5 Treatment of particular groups

2.5.1 Young persons

Benefit paid to young persons (aged 20-29)

The benefit is paid to young persons, on condition that these are unemployed and remain included in the list of the unemployed for one year. The benefit amounts to 73,37€ per month and increases by 5,87€ for each dependant (child-spouse), and is paid for a period of 5 months. The benefit aims to support new entrants into the labour market.

Family status	Amount (in €s)
Single parent	73,37
Couple	79,24
Either single parent or a couple with children	5,87 for each child

2.5.2 Older workers

The unemployed aged persons that are older than 65 years old, have no assets and whose income does not exceed the OGA(Agricultural Insurance Institute) basic pension, are granted a pension, which is equal to the basic pension granted by the OGA. The OGA grants the said pension on order of the Ministry of Health and Social Solidarity.

The amounts of pensions granted to uninsured persons by the OGA in the year 2007 are as follows:

227,75€ granted to persons without family burdens

281,07€ granted to persons with a spouse under 65 years of age

284,38€ granted to persons with children under 18 years of age and a spouse over 65 years of age who does not receive a pension.

3. Unemployment Assistance

3.1 Special aids (Conditions and duration)

3.1.1 Special aid after the end of payment of the unemployment allowance

A special allowance, which comprises 13 basic daily wages of the unemployment benefit (from 1/5/2007 it is 14,69 €), is paid to the unemployed who are not temporarily employed following the end of payment of the unemployment benefit, on condition that they remain unemployed and their family income does not exceed a fixed amount (8.217,68€).

This special allowance (a) amounted to 181,74€ from 1/1/2007 to 30/4/2007 (13,98*13) and (b) amounts to 190,97€ from 1/5/2007 to today (14,69*13).

3.1.2 Special aid after a three-month registration in the unemployed persons list

It is paid to the unemployed, who do not have the prerequisites for a regular benefit (not seasonal workers) and have actually worked for at least 60 days in the year prior to that in which they registered with the OAED. These persons must remain unemployed (registered with the OAED) for 3 months. The benefit is paid every three months in three separate installments in the same year. The payment consists of 15 daily wages of the unemployment benefit, on condition that their family income does not exceed 8.217,68€.

This special benefit (a) amounted to 209,70€ from 1/1/2007 to 30/4/2007 (13,98*15) and (b) amounts to 220,35€ from 1/5/2007 to today (14,69*15).

3.2 Income and earnings disregards

None. The payment of the benefit is interrupted in case there is an income of more than 8.217,68€ coming from any source.

3.3 Tax treatment of benefit

No taxation is imposed on special allowances.

3.4 Treatment of particular groups

3.4.1 Young persons

A benefit granted to young persons (aged 20-29).

The benefit is granted to young persons, on condition these are unemployed and remain registered as unemployed for one year. The benefit amounts to 73€ per month and is paid for a period of five months. It aims to support the new entrants into the labour market.

3.4.2 Long-term unemployed people

The OAED grants a benefit to the long-term unemployed.

Long-term unemployed persons are considered those persons, who have been unemployed for twelve consecutive months, remain registered as unemployed with the OAED and have already enjoyed the right to receive, on a regular basis, a benefit for twelve months. Also, the yearly family income must not exceed 5.000€. The said income increases by 587€ for each under-aged child.

The benefit amounts to 200€ and is paid for twelve months.

3.4.3 Seasonal aid

This aid is offered to persons belonging to occupational groups employed on a seasonal basis (construction workers, tobacco workers, actors, tile makers, forest workers, musicians, etc). The aid is paid on a yearly basis in the period from 1 October to 20 December. The following prerequisites must be fulfilled:

- The applicant must have actually worked for 50 – 210 days, as the case may be in the pertinent branch in the year prior to the year of payment.
- The applicant must not have actually worked for more days in branches other than the pertinent one in the previous year.
- The total of daily wages in any work must not exceed 240.

- The applicant must not fulfill the preconditions for regular benefit in the period in which the seasonal aid is paid.

3.4.4 Worker laid off due to insolvency of the employer

The OAED keeps an independent account called “Account for the protection of workers against employers’ insolvency”. The said account aims to pay up to three months earnings unpaid, due to the employer’s insolvency, as provided for in a contract of employment or a dependent working relationship. . **These earnings are considered and are being taxed as paid services.**

4. Social assistance

No general framework exists, but there are provisions regarding persons in great need. The Ministry of Health and Social Solidarity applies 11 financial assistance (subsidy) programmes for persons with disabilities depending on the type, the category or the percentage of disability.

According to the provisions of Act1140/1981, as well as of the Joint Ministerial Decision No61384/6138/19-5-1983 of the Ministers of National Defense, of the Interior, of Justice, of Finance, of Health and Social Solidarity and of Public Order, as it has been amended and is applied, the Ministry of the Interior finances the first-degree Local Self-Government Agencies (OTA) so that they might cover the benefit granted to quadriplegic and paraplegic persons, which are active employees in the OTA, as well as to members of their families suffering from the said diseases.

During **2007**, in accordance with data made available by the OTA, **40 OTA** were financed with **441.736€**.

The benefit is paid to persons not having adequate economic resources, and who are unable to secure these resources on their own or by means of another source, mainly by means of allowances provided for by the social insurance system. The social assistance benefit is a lump sum payment amounting to 234.78€.

Moreover, financial benefits due to maternity are paid to all working mothers who are uninsured or who are not able to claim the said benefits from insurance bodies.

This program is applied in accordance with Act 1302/82 by which the international labour convention 103/52 “on maternity protection” was ratified.

The maternity benefit is also granted to all foreign nationals who comply with the abovementioned requirements and their residence in Greece is legal.

Moreover, the Ministry of Health and Social Solidarity applies the housing aid program for uninsured and financially weak elderly persons over 65 who live alone, as well as for uninsured couples and financially weak elderly persons who have proof that they lack housing and reside in leased dwelling by paying housing benefit in the form of rent.

Uninsured elderly persons over 65 who do not receive pension from any insurance body are granted a pension, which is equal to the pension granted by the OGA, (Institute of Greek Agricultural Insurance) which is increased in case there is a spouse or a child under the age of 18.

Vulnerable social groups as well as all foreign nationals and their children have access by priority to social welfare services (Nurseries, Playgrounds, Child care centers, State summer school camps, Spa therapies for the elderly, “Help at home” program and housing assistance) on condition that they comply with the requirements of the existing legislation and as long as their legal residence in Greece can be certified.

Furthermore, we would like to inform you that, within the framework of the provisions of Legislative Decree 57/73 and of Act 2646/98, the Ministry of Health and Social Solidarity issued a Joint Ministerial Decision (O.G. 1185/11-9-02 B') in order to deal more effectively with the problems faced by citizens affected by natural disasters. According to this decision the local prefectural Self-Government (Directorate of Welfare) directly grants the following:

- Tents and blankets for their temporary accommodation.
- Financial support of 586,94 Euros to each family to meet their first needs.
- A further 586,94 Euros, is granted to support families with many children who suffered damages, in addition to the abovementioned sum.
- A further financial support of 586,94 Euros is granted to affected families for each family member who is a person with disabilities and is subsidized by welfare services.
- Financial support of up to 5.869,41 Euros per household, for repairs of the main dwelling or replacement of furniture.
- Financial support of 4.402,05 Euros to persons suffering from a handicap due to an injury caused by a natural disaster.
- Moreover, in compliance with article 18 of Act 2768/99, by a Joint Ministerial Decision, the provision of emergency financial assistance to the families of persons who died because of an earthquake or other natural phenomena is allowed.

In order to be entitled to the abovementioned financial assistance the persons affected by natural disasters are obliged to submit the relevant application to the local prefectural Self-Government (Directorate of Welfare) within one (1) month from the date of the incident, as provided for by the above mentioned Joint Ministerial Decision.

For your further information, we remind you of the drawing up of a "National Strategy on Social Inclusion" by the Ministry of Interior, General Directorate for Migration Policy and Social Inclusion, Directorate of Social Inclusion, within the framework of which actions on particular priority axes are being scheduled, such as provision of information and services, promotion into employment, education, Health and Housing, Culture, etc.

4.1 Conditions for receipt

	2001 (in drachmas: 1€=340,75)	2002	2003
Fire victims	138.840.000	36.977,26	21.174,00
Flood victims	28.000.000	3.070.728,15	1.519.444,00
Earthquake victims	274.066.000	2.197.432,87	1.772.850,00
Poverty	65.600.000	272.542,40	186.000,00
Death by natural		5.870	

disaster			
TOTAL	506.506.000	5.583.550,68	3.499.468,00

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

4.2.2 Income and earnings disregards

4.3 Tax treatment of benefit and interaction with other benefits

4.4 Benefit duration

4.5 Treatment of particular group

4.5.1 Young persons

4.5.2 Older workers

4.5.3 Others if applicable

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

5. Housing benefits

5.1 Conditions for receipt

The Workers' Housing Agency (OEK) beneficiaries are granted financial aid (rental subsidy) so that they may deal with the cost of renting a house. In order for the beneficiaries to receive the rental subsidy, they must fulfill the insurance, as well as other, prerequisites provided for in the Regulation called "Prerequisites for the granting of houses or loans by the OEK", i.e. they must have actually worked with insurance for a specific number of days, depending on their family composition, and neither they themselves nor any dependent member of their family must own a house or possess other assets, which might secure their housing. The beneficiaries that are individuals must have worked for a specific number of days, depending on the category (e.g. workers, working paraplegic - blind, etc), and fulfill the rest of legal prerequisites.

The status of being a pensioner is the only precondition for the participation in the rental subsidy programme, as far as the retired beneficiaries of the OEK are concerned.

The long-term unemployed beneficiaries of the OEK, as long as their unemployment and its duration are ascertained, are provided with a rental subsidy for the period of time during which they receive an OAED benefit, as well as for another two years following the termination of the benefit payment.

5.2 Calculation of the amount of the benefit

5.2.1 Calculation of the gross benefit (per month)

Single persons and couples	115€
Couples with one dependent child	140€
Couples with two dependent children	165€
Couples with three dependent children	215€
Couples with four dependent children	215€

The amount of the 215€ benefit increases by 25€ per month for each dependent child beyond the fifth child.

The abovementioned amounts of rental subsidy increase by 50% for the following OEK beneficiaries participating in the 2007 rental subsidy programme, depending on the category they belong to:

- Long-term unemployed persons, as well as beneficiaries who became unemployed due to the denouncement of their contract of employment in the year 2007, provided that they were unemployed for more than three (3) months.
- Unemployed beneficiaries who moved from their permanent residence and found work in other Prefectures in the year 2007.
- Beneficiaries whose net family income is less than 8.000,00€ in the fiscal year 2007.

5.2.2 Income and earnings disregards

The rental subsidy is granted to all low-paid beneficiaries, workers and pensioners, whose annual net family income does not exceed 11.500€ in the fiscal year 2007. This amount increases by 2.000€ for each dependent child.

Any kind of net income from any source, as seen in the tax return of the fiscal 2007, apart from: the lump sum compensation due to dismissal, the compensation paid by an insurance company due to an accident, the unemployment benefits, the interests of bank deposits, the paraplegic – quadriplegic benefits, the three-children benefit, the blindness benefit, the total disability benefit, the benefit for families with more than four children, the rental subsidy paid in the previous year, the confinement benefit, back pension of the previous year, the income deriving from the sale of assets in the previous year, the Pensioners' Social Solidarity Benefit (EKAS) and the amount paid as subsidy for the participation in further education and training programmes, is regarded as annual family income.

The payment of the benefit is discontinued in the case that another aid is granted by the OEK; more specifically, from the date that the loan agreement is signed or a house is granted.

5.3 Tax treatment of the benefit

No taxation is imposed on the benefit.

5.4 Benefit duration

The scheme has one-year duration and is paid once as a lump sum.

The scheme is repeated every year, as long as the requirements set are met every time.

5.5 Treatment of special groups

Provision of financial assistance from the Special Solidarity Fund (EKA) of the OEK to its beneficiaries, who are unable to pay off their debts resulting from housing loans or the price

of a house, due to pressing social and financial needs, e.g., long-term unemployment, serious health problems of the beneficiary or his dependants, damages caused by natural disasters, etc. The above assistance is paid in two six-month installments.

Also, the provision of financial assistance from the EKA has extended to cover owed installments of bank loans, with a rental subsidy by the OEK, to its beneficiaries employed by employers, who have gone bankrupt. The said financial assistance is provided for the period starting as soon as wages stop being paid, as stipulated in the decision on bankruptcy, and up to the date, when the denouncement of the contract of employment is served by the trustee in bankruptcy.

6. Family allowances

A general scheme is applied, which is supplemented by the employer.

6.1 Conditions for receipt

The preconditions for receiving the family allowance is that the beneficiary must have actually worked for fifty days in the year preceding to that in which the relevant application is submitted or a two-month regular subsidy due to unemployment or a two-month continuous inability to work.

The children for whom allowance is granted must:

- a) be under 18 years of age or under 22 years of age, in case of students
- b) if they are incapable of working, for long as their incapability lasts
- c) be single
- d) reside either in Greece or in another EU Member State.

Calculation of the amount of the allowance

6.2.1 Calculation of the benefit amount

(General scheme)

The amounts of allowances, as readjusted for the year 2007, have been formulated as follows:

1 child	8,22€
2 children	24,65€
3 children	55,47€
4 children	67,35€
For each additional child	11,298€
so, 5 children	78,68€

For each third child is added 2,93 per month

There is a special allowance for parents with more than 3 children	
3 rd child (up to the age of 6)	164,45€ monthly
Families with 4 or more children	41,10€ monthly per child
Life-Long pension to mothers with more than 3 children	94,58€ monthly

In the year 2006, Act No 3454/2006 was published, by virtue of which the mother, who gives birth to a third child or more from 1/1/2006 onwards, is granted a lump sum allowance amounting to 2.000€.

The employer usually pays each worker (married or not) with 5% of the gross income adding 10% for the spouse. The amount paid for the spouse is independent of her status of employment and income.

6.3. Tax treatment of the allowance

General scheme: No taxation is imposed on the allowance.

The allowance of the employer is added to the gross income prior to the imposition of tax.
By virtue of act no 2232/2006 the previous taxation on the allowance for the third or the fourth child was abolished.

6.4 Treatment of special groups

The amounts of family allowances increase by 3,67€ per month and by 44,04 per year for each child in the following cases:

- a) For not recognized children born out of marriage
- b) For children with disabilities
- c) For parentless orphans
- d) When the beneficiary is a widow
- e) When the beneficiary has a disabled spouse
- f) When the beneficiary's spouse is a soldier

Maternity benefits: these are financial benefits, which are granted due to maternity to working women that are not able to receive them from their insurance or are uninsured. The said benefits are granted for a period of six weeks prior to the childbirth and aim at securing satisfactory living standards. These benefits amount to 440,20€ (220,10€ before the childbirth and 220,10€ after it).

Support of unprotected children scheme: through this scheme, a monthly benefit of 44,02€ is paid to each unprotected child up to age of 16, provided that the monthly income of the family that the child is living with does not exceed the amount of 234,78€ for a three-member family (this amount increases by 20,54€ for each member of the family beyond the third one).

7. Child care benefits

The Workers' Home Organization [OEE] (Public Body Corporate supervised by the Ministry of Employment and Social Protection) operates 24 model Infant Nurseries and is currently considering the operation of another six (6). Nine (9) of these OEE Infant Nurseries are situated in the Attica Prefecture and fifteen (15) are situated in large provincial towns and Municipalities, whose population mainly comprises working people, as follows: **Attica Infant Nurseries** in the Municipalities of Agia Varvara, Aspropyrgos, Ano Liosia, Eleusina, Keratsini, Moschato, Peristeri, the Olympic Village and Menidi. **Provincial Infant Nurseries** in the towns of Agrinio, Arta, Drama, Igoumenitsa, Ioannina, Kalamata, Karpenissi, Komotini, Messolongi, Naousa, Xanthi, Patra, Pylea Thessalonica, Serres and Trikala.

The said Nurseries operate in buildings owned by OEE (apart from the Infant Nurseries of Kalamata and Aspropyrgos, which operate in prefabricated buildings that were granted by the respective Municipalities by means of contracts they concluded with OEE), which are constructed with a view to functioning as places of pre-school education, complying with all safety, hygiene and operational standards. The total surface area of these buildings is 25.750 square meters and they are mainly ground floor buildings. Their material and technical equipment is in accordance with the standards of modern pedagogic and serves the purpose of pedagogic programmes and activities in the nurseries. They deal with children of preschool age, aged from 8 months at the time of enrollment (ten months old when they actually start going to the nursery) up to school age; also, they deal strictly with children, whose parents are beneficiaries of the OEE benefits.

During the school year 2006-2007 the said Nurseries hosted approximately 1.272 infants. 117 educators of two-year, four-year and five-year education and 163 persons as administrative and assistant personnel (administrator, social worker, etc) were employed. The operational costs (catering-minor expenses-gifts for children) of the OEE Infant Nurseries for the fiscal year 2007 amount -up to 30/06/2007 for catering and up to 30/09/2007 for minor expenses- to 1.134.507€.

The Infant Nursery in Menidi will operate in November 2007 and has already accepted applications for infants.

Furthermore, the following Infant Nurseries are included in the OEE's construction scheme:

1. Larissa Infant Nursery – to be delivered in 2008
2. Haidari Infant Nursery – to be delivered in 2009
3. Ilion Infant Nursery – to be delivered in 2009
4. Kavala Infant Nursery – to be put out to tender (in 2007)
5. Karditsa Infant Nursery – to be put out to tender in the near future
6. Argostoli Infant Nursery – to be delivered in 2009
7. Pyrgos Infant Nursery – procedure of assigning the study

7.1 Out-of-pocket childcare fees paid by parents

In order to improve the living conditions of the children and the standards of services offered, parents pay catering expenses depending on their family income.

The national guidelines 2004 put forward the formulation of monthly catering expenses, as follows:

Family income (in €)	Catering expenses (in €)*
Up to 5.898,41	Free
5.898,41 – 8.804,11	20,54
8.804,11 – 11.738,81	26,41
11.738,81 – 14.673,51	35,22
14.673,51 – 17.608,22	44,02
17.608,22 – 20.542,92	52,82
Over 20.542,92	64,56

* half expenses are paid for the second child.

Families with more than three children and parents with disabilities (more than 67%) are exempt from the obligation to pay catering expenses when their income is up to 20.542,92€ (when the income is more than 20.542,92€, the expenses for the third child are 20,54€ and 10,27€ for every child beyond the third one).

The data provided for 2007 are still valid. Nevertheless, the competent Ministry of Interior informed us that the national guidelines for the formulation of monthly catering expenses are under discussion and will probably change within the next year.

7.2 Child-care benefits

By virtue of para5 of article 1 of Act3296/2004, the tax relief of 15% on the expenses for Day and Infant Nurseries has been repealed.

8. Allowances depending on employment

None.

9. Allowances for single-parent families

There is a fixed allowance for children without financial support. Please, refer to family allowances.

10. Tax system

10.1 Income tax schedule

10.1.1 Tax allowances and credits

Standard tax reliefs

Tax reliefs on social security contributions: contributions to social insurance institutes are not considered taxable income.

Main Non-Fixed Tax Reliefs: such tax reliefs concern the actual expenses incurred and are subject to a ceiling.

Non-standard tax reliefs

Main Non-Fixed Tax Reliefs relating to actual expenses: Expenses deducted from the total net income, which are subject to a ceiling.

- Donations to the State, the municipalities and the communities, the State Universities, the church and other public institutions, as well as similar private non-profit making legal entities, provided that they exceed 100€.
- Donations to private legal entities dealing with cultural activities may be deducted by up to 10% of the total taxable income.
- Bank interest on loans on mortgage and on housing loans, when the loans have been used for the acquisition of main residence and taken up to 31 December 2002.
- Expenses on life / death insurance and insurance against accidents or diseases with a ceiling of 1.200€. These include expenses paid annually on the insurance of children whose parents are divorced.
- The amount paid for rent by the taxpayers for their main residence, in case of move, apart from the Attica and Thessalonica regions, for the first five years and on condition that the tax payer is under 40 years of age. Also, the amount paid for rent by a public servant for his/her main residence, in case of secondment. The monthly rent must not exceed the amount of 300€.
- 20% of the amount – and up to 700€ – paid for the installation of a natural gas and a solar energy system.

Non-Fixed tax reductions relating to actual expenses

- 20% of expenses for medical and hospitalization care of the taxpayer and the dependent members of his/her family up to the amount of 6.000€. Such expenses are the amounts paid by the taxpayer to social insurance bodies for health reasons requiring continuous medical care.
- Medical and hospitalization expenses for children protected by the taxpayer, even in the case when these are paid by one parent, who does not live with them due to divorce from the other parent, are also included.
- 20% of the total annual amount paid for the rent of main residence, which, however, does not exceed 1.200€, on condition that the taxpayer does not own a house equal to or larger

than the rented one in the same area and provided that the taxpayer is not granted a rental subsidy.

- 20% of the expenses made by the taxpayer for each protected child or for him/herself for private schools or private foreign languages schools or tutoring with a view to improving the school performance, up to 1.200€ at the most per person. Expenses paid by divorced parents are also included.
- 20% of the annually paid interests on loans on mortgage taken from 1st January 2003 onwards for the taxpayer's main residence. This percentage is decreased when the subsidized amount exceeds 200.000€.
- 20% of the alimony paid to a spouse and is awarded / or agreed upon by means of a notarial act. The tax reduction cannot exceed the amount of 3.000€.
- A reduction of 60€ for each dependent child of the taxpayers with an income earned through the provision of services or taxpayers residing in certain near-border areas or on specific islands for at least nine (9) months a year.

10.1.2 Definition of taxable income

Gross income minus tax exemptions.

10.1.3 Tax schedule

Basic tax scale

Income Category	Tax Rate (%)
Up to 12.000	0
From 12.001 to 30.000	29
From 30.001 to 75.000	39
75.001 or more	40

The tax-free amount of 12.000€ for the permanent residents of islands with a population up to 3.100 people increases by 50%, i.e. to 18.000€.

Since 2003, tax reductions that were granted in the past for dependent children have been replaced with a broader zone of tax-free income granted to persons, whose income is earned through employment and who have dependent children.

The tax-free income of persons with dependent children increases by 1.000€ to 13.000€ (one dependent child), by 2.000 to 14.000 (two dependent children), by 10.000€, i.e. to 22.000€ (three dependent children) and by another 1.000€ for every child beyond the third one. The next income scales are readjusted respectively.

10.2 Treatment of family income

Married persons (spouses) are taxed separately on their own separate income, but are required to submit a joint tax return.

Social insurance contribution scale

The average contributions rate paid by workers to social insurance bodies is calculated on their gross income as follows:

- IKA – ETAM: 9,22%
- ETEAM: 3%
- Other social insurance bodies: 3,78%

The maximum gross annual earnings on which contributions paid to IKA – ETAM are calculated, as far as old insured persons are concerned (i.e. those insured for the first time until 31/12/1992) amount to 2.315,00 x 14 = 32.410,00€ for the year 2007. As far as persons insured for the first time from 1/1/1993 onwards are concerned, the respective maximum gross annual earnings for the year 2007 amount to 5.279,57 x 14 = 73.913,98€.

11. Part-time employment

11.1 Special rules governing financial assistance to the part-time employed

The earnings of the part-time employed who work for less than 4 hours daily increase by 7,5%.

This provision aims at supporting the part-time employed with less than 4 working hours daily and promotes the greater participation in the labour market, especially of young persons and women, i.e. persons for which this type of employment is the only possible due to educational, family or other obligations.

A prerequisite for the application of the above is that the part-time employed be offered the minimum fixed remuneration provided for in the existing provisions.

Concerning the part time employment at the OTA, by virtue of Act3250/2004, as in force (Act3536/2007), bodies of the public sector, the OTA and other Public Bodies Corporate were given the ability to hire personnel bound by a fixed-term contract of employment under private law for part-time employment for four hours per day and twenty per week; the contract is of eighteen (18) months duration. It is mandatory that the part-time personnel belong to vulnerable social groups (unemployed of various categories, victims of mass dismissals, mothers of underage children, persons with special needs, persons with three children, persons with more than three children), i.e. persons who, through this programme, achieve to support their family income as well as to accumulate time of service that is useful both for the collection of stamps and as previous service for future hiring/employment.

This personnel, as personnel bound by a fixed-term contract of employment under private law, is entitled by analogy to all remuneration and benefits provided for by law that are received each time by the respective permanent OTA personnel of the first and second degree, apart from the lump sum traveling expenses of the OTA personnel of the first and second degree (Act2685/99), since the working hours of this personnel do not justify the granting of the said expenses (article 28, para6, Act3536/2007).

The Ministry of the Interior subsidizes the first degree OTA of the Country from transferred credits of the State Budget, so that they cover payroll expenses of part-time employed staff hired for the realization of the OTA approved plans, as well as Public Bodies Corporate supervised by the OTA, for the provision of social services.

During 2007 615 first-degree OTA of the country were subsidized with the amount of 22.998.173€.

11.2 Special rules concerning taxation and social contributions regarding part-time employment

None.

12. Developments in the field of politics

None.

ANNEX – ADDITIONAL INFORMATION ON NURSERIES

The Ministry of Health and Social Solidarity founded and financed from the State Budget 1.306 State Day Nurseries with a capacity of 78.000 children (from the age of 2,5 years up to their registration with the Primary School) and 132 Infant Nurseries with a capacity of 10.000 children aged 8 months and up to their registration with the Primary School, with a view to helping working parents as well as economically weak families. Children facing social problems and, for this reason, needing special social care, i.e., children whose one or both parents are dead, children of unmarried mothers, of divorced or separated parents, families with more than three children, parents with physical or mental disability, etc, have priority in their enrollment to the said nurseries.

The possibility that State Day Nurseries and Infant Nurseries may be established is provided for in the provisions of article 13 of Emergency Act (2/11/1935) respecting State Day Nurseries (Official Gazette 527/A), and, in that case, the issue of a Presidential Degree was necessary on proposal of the competent Ministers.

In order to improve the living conditions of children and the services provided to them, parents paid catering fees depending on their family income.

It is pointed out that all State Day Nurseries and Infant Nurseries came ipso jure under the OTA, according to the provisions of article 12 of Act 2880/2001 (O.G.9/A/30-01-2001), and now operate as municipal and community Private Legal Entities **under article 239 of Act 3463/2006 (O.G.114/A) “New municipal and Community Code”**.

The operation of the new Municipal Legal Entities (former State Day Nurseries) is regulated by an Operation Regulation, which is drawn up by the pertinent Municipal or Community Councils and is based on the Model Operation Regulation that has been issued by joint decision of the Ministers of the Interior, Public Administration and Decentralization and of Health and Welfare and is approved by decision of the General Secretary of the Region.

It is noted that an Inspectorate Body for Health and Welfare Services (SEYYP) was set up within the Ministry of Health and Welfare by Act 2920/2001 (O.G.131 volume A). The said Body may, *inter alia*, intervene in the first degree OTA Services, in the field of Welfare, in order to ascertain the quality and sufficiency of facilities and equipment, as well as in order to take the necessary safety measures for the children's and the personnel's healthy living conditions.

Furthermore, 164 Day Nurseries and Infant Nurseries were operated by bodies supervised by the Ministry of Health and Social Solidarity (National Foundation for the Protection of Mother and Child [PIKPA], National Welfare Organization [EOP], Infants' Centre "MITERA", Institution of Athens Infant Nurseries, Institution of Thessalonica Infant Nurseries and Institution of Larissa Infant Nurseries), which were financed by the State Budget.

These Nurseries, in accordance with article 8 of Act 3106/10-2-2003 (O.G.30 vol. A) on the "Reorganization of the National Social Care System", are now under the competency of the municipalities and communities, in whose administrative region they operate.

The personnel employed in the nurseries are hired in accordance with the standard procedures applying to the hiring of personnel in the Public Sector.

39 Nurseries have been founded and are operated by Charities (non-profitable), some of which are subsidized symbolically by the State Budget.

Also, approximately 1090 Private Day and Infant Nurseries operate (private enterprises). The Nurseries founded by Charities, as well as the Private Day and Infant Nurseries, operate upon relevant license issued by decision of the Prefect of the local Prefecture, in accordance with the prerequisites set by Ministerial Decision No.P2b/oik.2808/97 (O.G.645/B/97), as amended and supplemented subsequently.

The personnel employed in these units are hired by persons or legal entities, in the name of which the operation license has been issued; the hiring of said personnel is approved by decision of the Directorate or the Section of Public Welfare of the local Prefecture.

The inspection concerning the smooth operation of these units is carried out by the competent services of the Prefecture pursuant to the provisions of article 1 of Act 2345/1995 (O.G.213/A/95).

Since the infant nurseries have come under the competency of OTA, today, 1.574 infant nurseries operate in OTA, mainly in the form of legal entities under public law (NPDD) and 162 in the form of OTA enterprises, while they care for 72.000 children and approximately 7.000 infants. They employ 11.134 persons.

The countries Regions are competent for issues of supervision and inspection of the said municipal legal entities, while the relevant institutional framework is determined by the Ministry of the Interior, Public Administration and Decentralization (Directorate of Organization and Operation of the OTA).

Board fees are paid to the majority of nurseries; either based on the parents' income category or a fixed amount of 10€ up to 150€ on a monthly basis.

For the year **2007**, 555 OTA of the country were subsidized to cover their operational costs and primarily the salaries of the Day and Infant Nurseries' personnel of the Act 2880/2001, with a total amount of **198.116.481,96€**, while 134 OTA were subsidized to cover the abovementioned expenses of Legal Entities and Services, as stipulated by Act 3106/2003, including the expenses of Day and Infant Nurseries, with a total amount of **42.299.287€**.

During the current year and up to September 2007, 75% of the amount that was paid during the previous year for Legal Entities under article 12 of Act2880/2001 as well as under article 8 of Act 3106/2003 has already been paid, i.e. 148.584.988,61€ and 31.729.152,98€ respectively.

Moreover, during 2006 the amount of 14.415.800€ was granted to 48 OTA to cover the operational needs of day nurseries they set up on their own initiative, taking into account the number of the children look after.

Finally, we would like to inform you that, according to the Joint Ministerial Decision No.4036/2001 (O.G.1128/B/2001) of the Ministers of the Interior, Public Administration and Decentralization, of Labour and Social Security and of Health and Welfare, as it was amended subsequently, the Regional Operational Programmes (PEP) and the Operational Programme "Employment and Vocational Training" that have been approved within the Third Community Support Framework, also include actions respecting - as far as the PEP are concerned - the operation of new structures or new sections in existing infant nurseries structures or infant nurseries of integrated care [BSOF] (department of infants with disabilities) or day nurseries or Centers for the Creative Activities of Children (KDAP) or / and Centers for the Creative Activities of Children with Disabilities (KDAP MEA); as far as the Operational Programme "Employment and Vocational Training" is concerned they include the continuation or even the expansion of operation of the already existing structures, which were co-financed by the European Social Fund within the Second Community Support Framework.

Today, 369 structures operate within the Operational Programme "Employment and Vocational Training"; these structures employ 1.907 persons and provide services to approximately 50.000 people (old people, children and people in need of assistance). At the same time, 1.120 structures operate within the PEP; these employ 4.400 persons and provide services to another 50.000 people. More specifically:

Year 2006

Expenses (01/01/06 - 31/12/06): 28.967.719,63€

Year 2006

Expenses (01/01/07 - 31/08/07): 27.220.164,66€

The competent bodies for the management and the implementation of the aforementioned actions are, the Special Management Service of EPEAEK, for those financed by EPEAEK, while , for those financed by PEP, the Special Management Services of the Country's Regions, in accordance with Act 2860/2000 (O.G.261/A/2000), to which the relevant applications of the final beneficiaries of these actions are submitted, i.e. the OTA enterprises and the Inter-Municipal enterprises and the civil companies set up by the OTA and aim at the social development or welfare or have an objective relevant to the above.